Type MS · Ratio formulas and how to calculate them

Answer 1 of 6 · Question 2 part b.i · 4 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b.i in this mark scheme extract

Number		
2 (a)	**Award marks as indicated.**	

Bob
Statement of Financial Position at 29 February 2024

	$	$	$
Assets			
Non-current assets			
Fixtures and fittings		11 900	
Motor vehicles		15 400	
			27 300**(1)**
Current assets			
Inventory		8 531	
Trade receivables	8 490**(1)**		
Allowance for doubtful debts	(346)		
		8 144**(1)**	
Other receivables		600**(1)**	
Cash at bank		2 198	
Cash in hand		289	
			19 762**(1)**
Total assets			47062**(1of)**
Equity and liabilities			
Equity			
At 1 March 2023		30 000	
Profit for the year		8 083	
Drawings		(5 552)	
Total equity			32 531**(1)**
Non-current liabilities			
Bank loan (2028)			10 000**(1)**
Current liabilities			
Trade payables		4 320	
Other payables		211	
			4 531**(1)**
Total liabilities			14 531
Total equity and liabilities			47062**(1of)**

(10)

Type MS · Ratio formulas and how to calculate them

Answer 1 of 6 · Question 2 part b.i · 4 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b.i in this mark scheme extract

Question Number	Answer	Mark
2(b)(i)	**Award marks as indicated.** **Current (working capital) ratio** Current assets/current liabilities **(1)** 4.36:1 **(1of)** **Liquid (acid test) ratio** Current assets – inventory/current liabilities **(1)** 2.48:1 **(1of)**	**(4)**

Question Number	Answer	Mark
2(b)(ii)	**Award up to 2 marks for the evaluation of each ratio.** **Award 1 mark for conclusion.** **Sample answer** **Current ratio** The current ratio indicates that the business is able to meet its short-term debts **(1)** however as the figure exceeds the benchmark of 2:1 this indicates poor management of the working capital. **(1)** **Liquid ratio** The liquid ratio indicates that the business is able to meet its short-term debts without having to sell its inventory **(1)** however the figure exceeds the benchmark of 1:1 which may indicate an excessive amount of resource tied up in either trade receivables or in the business bank account. **(1)** **Conclusion** Although both ratios indicate a positive liquidity position Bob should not be satisfied as the business needs to take action to return to the benchmark for each ratio **(1)** **Accept any other appropriate responses**	**(5)**

Type MS · Ratio formulas and how to calculate them

Answer 1 of 6 · Question 2 part b.i · 4 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b.i in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award up to two marks for correct difference.** **Sample answer** Profitability refers to the ability of a business to generate income relative to its expenditure **(1)** whereas liquidity refers to the ability of a business to pay its debts **(1).** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2(d)	**Award 1 mark for identifying the correct concept plus up to three marks for development.** **Sample answer** **Concept** Accruals/Matching **(1)** **Explanation** The accruals concept states that the revenue of an accounting period must be matched against the costs of the same period **(1)** By adjusting for other receivables and other payables a business will be able to present a more accurate view of the profit or loss for the year **(1)** and a more accurate view of the financial position of the business **(1)** **Accept any other appropriate responses**	**(4)**

TOTAL FOR QUESTION 2 = 25 MARKS

TOTAL MARKS FOR PAPER = 50 MARKS

Type MS · Ratio formulas and how to calculate them

Answer 2 of 6 · Question 1 part b.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b.i in this mark scheme extract

1(a)(i) **Award marks as indicated.**

Dina

Manufacturing account for the year ended 31 March 2022

	$	$	
Opening inventory - raw materials		9 640	
Purchases		98 400	**(1)**
Closing inventory - raw materials		(10 400)	**(1fb)**
Cost of raw materials consumed		97 640	**(1of)**
Direct wages		38 400	**(1)**
Royalties		1 780	**(1)**
Prime cost		137 820	**(1of)**
Factory overheads			
Depreciation charge - plant and machinery	17 200		**(1)**
Indirect wages	27 000		**(1)**
Insurance	3 200		**(1)**
Electricity	7 800		**(1)**
Factory rent	12 000		**(1)**
		67 200	
		205 020	
Opening inventory - work in progress	4 200		
Closing inventory - work in progress	(4 430)		
		(230)	**(1)**
Production cost		204 790	**(1of)**

(13)

Type MS · Ratio formulas and how to calculate them

Answer 2 of 6 · Question 1 part b.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(a)(ii)</td><td>Award marks as indicated.
Dina
Income statement for the year ended 31 March 2022
<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Revenue</td><td></td><td>385 000
(1)</td></tr>
<tr><td>Cost of sales</td><td></td><td></td></tr>
<tr><td>Opening inventory — finished goods</td><td>6 750</td><td></td></tr>
<tr><td>Production cost</td><td>204 790
(1of)</td><td></td></tr>
<tr><td></td><td>211 540</td><td></td></tr>
<tr><td>Closing inventory — finished goods</td><td>(5 850)
(1fb)</td><td></td></tr>
<tr><td>Cost of goods sold</td><td></td><td>205 690</td></tr>
<tr><td>Gross profit</td><td></td><td>179 310
(1of)</td></tr>
</table></td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)(i)</td><td>Award marks as indicated.
<table>
<tr><th>Ratio</th><th>Formula</th></tr>
<tr><td>Gross profit percentage</td><td>Gross profit X 100
Revenue
(1)</td></tr>
<tr><td>Profit for the year as a percentage of revenue</td><td>Profit for the year X 100
Revenue
(1)</td></tr>
<tr><td>Return on capital employed.</td><td>Profit for the year X 100
Capital employed
(1)</td></tr>
</table></td><td>(3)</td></tr>
</table>

Type MS · Ratio formulas and how to calculate them

Answer 2 of 6 · Question 1 part b.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b.i in this mark scheme extract

Question number	Answer	Mark
1(b)(ii)	**Award 1 mark for analysis of each ratio, 2 marks for development of the ratios and 1 mark for overall conclusion.** **Sample answer** The decrease in gross profit percentage may be due to a lower selling price and/or a higher cost of sales **(1).** Despite the fall in the gross profit percentage, the profit for the year as a percentage of revenue and the return on capital employed both improved **(1)** indicating better control over expenses **(1)** and more efficient use of resources **(1)**. So, Dina's statement is incorrect **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Ratio formulas and how to calculate them

Answer 3 of 6 · Question 1 part c.i · 2 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part c.i in this mark scheme extract

1(a) **Award marks as indicated.**

	Manufacturing account		Income statement	
	Prime cost	**Factory overheads**	**Income**	**Expenditure**
Wages-production staff	✓ **(1)**			
Wages-office staff				✓ **(1)**
Wages-factory supervisor		✓ **(1)**		
Carriage outwards				✓ **(1)**
Decrease in provision for irrecoverable debts			✓ **(1)**	
Royalties paid	✓ **(1)**			

(6)

Type MS · Ratio formulas and how to calculate them

Answer 3 of 6 · Question 1 part c.i · 2 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part c.i in this mark scheme extract

Question number	Answer	Mark
1(b)	**Award marks as indicated.**	(12)

Bella and Chand
Statement of financial position at 30 September 2022

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Property, plant and equipment	65 000	18 050	46 950 **(1)**
Current assets			
Inventories		38 800	
Trade receivables Working [$27 600 **(1)** - $380 = $27 220		27 220 **(2)**	
Bank		4 775	
Petty cash		125	
			70 920 **(1)**
Total assets			117 870 **(1)**
Equity and liabilities			
Equity	**Bella**	**Chand**	
Capital	50 000 **(1)**	50 000 **(1)**	100 000
Current	10 500 **(1)**	3 450 **(1)**	13 950
Total equity			113 950 **(1)**
Current liabilities			
Trade payables		3 490	
Other payables		430	
			3 920 **(1)**
Total equity and liabilities			117 870 **(1)**

Type MS · Ratio formulas and how to calculate them

Answer 3 of 6 · Question 1 part c.i · 2 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part c.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)(i)</td><td>Award marks as indicated.

<table>
<tr><th>Ratio</th><th>Formula</th></tr>
<tr><td>Profit for the year as a percentage of revenue</td><td>Profit for the year x 100
Revenue
(1)</td></tr>
<tr><td>Return on capital employed</td><td>Profit for the year x 100
Capital employed.
(1)</td></tr>
</table>
</td><td>(2)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)(ii)</td><td>Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.

Sample answer

Profit for the year as a percentage of revenue has improved over the year (1) indicating a better control of expenses (1).

The return on capital employed has worsened (1) indicating an inefficient use of resources (1).

Overall, profitability has worsened (1).</td><td>(5)</td></tr>
</table>

(Total for Question 1 = 25 marks)

Type MS · Ratio formulas and how to calculate them

Answer 4 of 6 · Question 2 part e · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part e in this mark scheme extract

2(a)(i)	**Award mark as indicated.** To encourage partners to make additional investment in the business **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (ii)	**Award mark as indicated.** To discourage partners from making excessive drawings **(1)**	**(1)**

Question Number	Answer	Mark
2(a) (iii)	**Award mark as indicated.** To reward partners for extra responsibility **(1)**	**(1)**

Type MS · Ratio formulas and how to calculate them

Answer 4 of 6 · Question 2 part e · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	**(8)**

Belen and Charo
Appropriation account for the year ended 31 December 2022

	$	$
Profit for the year		66 200
Interest on drawings		
Belen	1 600 **(1)**	
Charo	3 040 **(1)**	4 640
Interest on capital		
Belen	4 000 **(1)**	
Charo	4 500 **(1)**	(8 500)
Salary - Charo		(24 000) **(1)**
Profit available for distribution		38 340 **(1of)**
Share of profit		
Belen		19 170 **(1of)**
Charo		19 170 **(1of)**
		38 340

Type MS · Ratio formulas and how to calculate them

Answer 4 of 6 · Question 2 part e · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award marks for each correct date, detail and amount in combination.**	**(8)**

Capital Account - Charo

Date	Details	$	Date	Details	$
31 December	Balance c/d	90 000	1 January	Cash book/Bank	90 000 **(1)**
		90 000			90 000
			1 January	Balance b/d	90 000 **(1)**

Current Account - Charo

Date	Details	$	Date	Details	$
31 December	Appropriation/ Interest on drawings	3 040 **(1of)**	31 December	Appropriation/ Interest on capital	4 500 **(1of)**
	Drawings	38 000 **(1)**		Appropriation/ Salary	24 000 **(1of)**
	Balance c/d	6 630		Appropriation/ Share of profit	19 170 **(1of)**
		47 670			47 670
			1 January	Balance b/d	6 630 **(1of)**

Type MS · Ratio formulas and how to calculate them

Answer 4 of 6 · Question 2 part e · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.** The gross profit percentage is lower than budgeted **(1)** which may be due to selling prices falling/cost of sales increasing **(1).** However, the profit for the year as a percentage of revenue is higher than budgeted **(1),** which may be due to efficient control of overheads **(1).** Therefore, the partners are correct that overall profitability is better than expected **(1).** **Accept any other appropriate responses.**	**(5)**

Question Number	Answer	Mark
2(e)	**Award mark as indicated.** Return on capital employed **(1)**	**(1)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Ratio formulas and how to calculate them

Answer 5 of 6 · Question 1 part f.i · 2 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part f.i in this mark scheme extract

1(a)	**Award marks as indicated.** $68 400 **(3) W** **W** $109 100 **(1)**-$40 700 **(1)** = $68 400 **(1of)**	**(3)**

Question number	Answer	Mark
1(b)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(6)**

Mia
Income statement for the year ended 31 December 2019

	$	$	
Revenue		210 000	**(1)**
Cost of sales			
Opening inventory	20 000		
Purchases	155 000		**(1)**
Goods for own use	(3 000)		**(1)**
Closing inventory	(25 000)		
		(147 000)	**(1)**
Gross profit		63 000	**(1of)**

Question number	Answer	Mark
1(c)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(5)**

Mia
Statement of financial Position at 31 December 2019

	$	
Equity		
Equity at 1 January	68 400	
Additional equity	10 000	**(1)**
Profit for the year	21 000	**(1)**
Drawings	(18 150)	**(1)**
Total equity	81 250	**(1of)**

Type MS · Ratio formulas and how to calculate them

Answer 5 of 6 · Question 1 part f.i · 2 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part f.i in this mark scheme extract

Question number	Answer	Mark
1(d)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Physical deterioration/ wear and tear/usage/rust/erosion/rot and decay **(1)** Economic reasons/obsolescence **(1)** Passage of time/time factor **(1)** Depletion **(1)**	**(2)**

Question number	Answer	Mark
1(e)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Accruals **(1)** Prudence **(1)** Consistency **(1)**	**(2)**

Question number	Answer	Mark
1(f) (i)	**Award 1 mark for each correct answer.**	**(2)**

Ratio	Formula
current (working capital)	Current assets / Current liabilities **(1)**
liquid (acid test)	Current assets – inventory / Current liabilities **(1)**

Question number	Answer	Mark
1(f) (ii)	**Award 1 mark for a general statement regarding the change in liquidity over the year. Further 3 marks for discussion on both ratios and the final 1 mark for a conclusion.** **Sample answer:** The liquidity of the business has declined **(1)** over the year which is evidenced by the reduction in both ratios. The current ratio indicates that the business can pay its short-term debts **(1).** However, the acid test ratio indicates that the business will struggle to pay its short-term debts from its liquid assets **(1)** which is due to the business holding too much inventory **(1)**. In order to improve liquidity, the business needs to convert inventory into cash quicker to improve the bank balance **(1)**.	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Ratio formulas and how to calculate them

Answer 6 of 6 · Question 2 part c.i · 2 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part c.i in this mark scheme extract

2(a) **Award marks as indicated.**

Carl and Ming

Appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		(250) **(1)**
Depreciation charge		(1 500) **(1)**
Updated profit for the year		40 390
Interest on drawings		
Carl	2 160 **(1)**	
Ming	2 340 **(1)**	
		4 500
Interest on capital		
Carl	(6 000) **(1)**	
Ming	(4 000) **(1)**	
		(10 000)
Salary Ming		(18 000) **(1)**
Profit available for distribution		16 890
Share of profit		
Carl	**(1of fb)**	8 445
Ming		8 445
		16 890

(8)

Type MS · Ratio formulas and how to calculate them

Answer 6 of 6 · Question 2 part c.i · 2 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part c.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(b)(i)</td><td>Award marks for each correct date, detail and amount in combination as indicated.

Current Account — Ming
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>31 March 2022</td><td>Drawings</td><td>26 000 (1)</td><td>1 April 2021</td><td>Balance b/d</td><td>900 (1)</td></tr>
<tr><td></td><td>Appropriation/ Interest on drawings</td><td>2 340 (1of)</td><td>31 March 2022</td><td>Appropriation/ Interest on capital</td><td>4 000 (1of)</td></tr>
<tr><td></td><td>Balance c/d</td><td>3 005</td><td></td><td>Appropriation/ Salary</td><td>18 000 (1)</td></tr>
<tr><td></td><td></td><td></td><td></td><td>Appropriation/ Share of profit</td><td>8 445 (2/1of)</td></tr>
<tr><td></td><td></td><td>31 345</td><td></td><td></td><td>31 345</td></tr>
<tr><td></td><td></td><td></td><td>1 April 2022</td><td>Balance b/d</td><td>3 005 (1of)</td></tr>
</table></td><td>(8)</td></tr>
</table>

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated.** The amount owed by the partnership to the partner **(1)**. **Accept any other appropriate responses.**	**(1)**

Question number	Answer	Mark
2(b)(iii)	**Award mark as indicated.** The partner may have taken more money than allowed **(1)**. **Accept any other appropriate responses.**	**(1)**

Type MS · Ratio formulas and how to calculate them

Answer 6 of 6 · Question 2 part c.i · 2 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part c.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)(i)</td><td>Award marks as indicated.
<table>
<tr><th>Ratio</th><th>Formula</th></tr>
<tr><td>Current (working capital)</td><td>Current assets
Current liabilities
(1)</td></tr>
<tr><td>Liquid (acid test)</td><td>(Current assets – inventory)
Current liabilities
(1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

Question number	Answer	Mark
2(c)(ii)	**Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.** **Sample answer** Although the current (working capital) ratio has deteriorated below the benchmark of 2:1**(1)** the business can still pay their current liabilities as was the case last year**(1).** The liquid (acid test) ratio has improved above the benchmark of 1:1 **(1)** indicating that the business can meet short-term debts as they become due, without the need to sell inventory **(1).** Therefore, the partners are correct that the liquidity of the business has improved **(1).** **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)